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CHAPTER

5 MARKET STRUCTURE AND PRICING

9MLHXP

"Marketing is not the art of finding clever ways to dispose of what you make. It is the art of creating genuine customer value".

– Philip Kotler

Learning Objectives

1. To understand the characteristics of markets and how the price and output are determined under the several types of markets; and,
2. To study the nature of the profit obtained by a firm under different types of markets

5.1 Introduction

Every commodity or service that is exchanged has two sides: the supply side and the demand side. The supply side contains information on the number of sellers, the nature and the quantum of the product produced and brought to the market for sale. The demand side contains information on the number of buyers entering the market for buying the product. Hence the study of market and market structure forms an important feature of micro economics.



5.2 Meaning of Market

In the ordinary sense, the word 'market' refers to a physical place, where commodities and services are bought and sold.